



1201 F Street NW, Suite 200
Washington, DC 20004

Via secretary@fmc.gov
and U.S. First Class Mail

October 2, 2019

The Honorable Michael A. Khouri, Chairman
c/o Rachel E. Dickon, Secretary
Federal Maritime Commission
800 North Capitol Street NW
Washington, DC 20573-0001

Dear Mr. Chairman:

RE: Comments in Response to Notice of Proposed Rulemaking titled "Interpretive Rule on Demurrage and Detention Under the Shipping Act," Dkt. No. 19-05, 84 *Fed. Reg.* 48850 (September 17, 2019)

The National Federation of Independent Business (NFIB) submits these comments in response to the Federal Maritime Commission (FMC) notice of proposed rulemaking titled "Interpretive Rule on Demurrage and Detention Under the Shipping Act" and published in the *Federal Register* of September 17, 2019. The proposed rule would interpret and apply the statutory requirement that a "common carrier, marine terminal operator, or ocean transportation intermediary" establish and follow "just and reasonable" rules and practices on "receiving, handling, storing, or delivering property" in light of a statutory purpose of "freight fluidity" (i.e., movement of cargo at an optimal velocity through marine terminals). Regrettably, the FMC has no authority to prescribe the interpretive rule that it proposed. But the FMC can achieve its objective through exercise instead of its statutory authority to investigate and adjudicate.

NFIB is an incorporated nonprofit association with about 300,000 small and independent business members across America. NFIB protects and advances the ability of Americans to own, operate, and grow their businesses and, in particular, ensures that the governments of the United States and the fifty states hear the voice of small business as they formulate public policies. Small and independent businesses benefit from timely, affordable, and safe shipping services and from federal agency adherence to the law.

Although some federal courts have expressed the view that an agency charged with enforcing a statute had “inherent authority to issue interpretive rules informing the public of the procedures and standards it intends to apply in exercising its discretion,” *Production Tool Corp. v. Employment and Training Administration*, 688 F. 2d 1161, 1166 (7th Cir. 1982), the U.S. Supreme Court has stated that a federal agency has no power at all, unless Congress has by law assigned the agency power. See *Louisiana Public Service Commission v. Federal Communications Commission*, 476 U.S. 355, 374 (1986) (“First, an agency literally has no power to act . . . , unless and until Congress confers power upon it.”). Thus, an agency has no power to prescribe rules unless a statute confers rulemaking authority on the agency.

The FMC notice cited the following provisions of law as authority for FMC to adopt the proposed rule: (1) 5 U.S.C. 553; (2) 46 U.S.C. 305, 40307, 40501-40503, 41101-41106, and 40901-40904; and (3) 46 CFR 515.23. Section 553 of title 5 of the U.S. Code imposes procedural requirements agencies follow in exercising agency rulemaking authority (requirements that do not apply in making interpretive rules), but section 553 does not itself confer rulemaking authority on an agency. The cited provisions of title 46 of the U.S. Code -- setting aside for the moment sections 305 and 41102 -- grant no authority to the FMC to issue rules or regulations, except to govern accessibility and accuracy requirements for automated tariff systems and publication of marine terminal operator schedules (section 40501) and certain matters relating to court judgments (section 40902). Lastly, section 515.23 of title 46 of the Code of Federal Regulations cannot confer regulatory authority on the FMC, because section 515.23 is not an act of Congress.

Section 305 of title 46 provides succinctly: “The Federal Maritime Commission may prescribe regulations to carry out its duties and powers.” That unusually narrow grant of rulemaking authority limits the FMC to prescribing regulations to implement the duties assigned and the powers granted to the FMC by law, in contrast to the typical, broader grant of authority to an agency to prescribe such regulations as may be necessary to implement entire statutes. See *Gonzales v. Oregon*, 546 U.S. 243, 265 (2006). Section 41102(c) of title 46 -- the statute that the FMC notice says the proposed rule is designed to help interpret -- states:

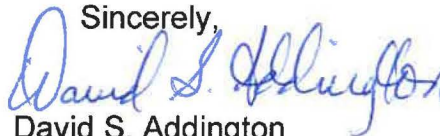
(c) PRACTICES IN HANDLING PROPERTY.--A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.

Section 41102(c) does not assign a duty or grant a power to the FMC; it imposes duties only on a “common carrier, marine terminal operator, or ocean transportation intermediary.” Thus, the FMC power to prescribe regulations to carry out FMC duties and powers does not extend to prescribing regulations to implement section 41102(c), because section 41102(c) does not assign the FMC duties or powers.

The FMC's lack of authority to prescribe the proposed interpretive rule on demurrage and detention does not leave the FMC without authority to achieve what it wishes to achieve. Chapter 413 of title 46 allows the FMC, in response to a complaint or at its own initiative, to conduct investigations, hold hearings, and issue orders to prevent or correct violations of Part A of chapter 413, which includes section 41102(c). Thus, in an appropriate case involving demurrage and detention allegedly contrary to section 41102(c), the FMC may adopt, in interpreting and applying section 41102(c), the incentive principle contained in its proposed rule and, again in appropriate cases, the applications of that principle with respect to cargo availability, empty container return, notices of cargo availability, and government inspections. While the FMC lacks the authority to prescribe the interpretive rule it proposed, it can achieve that same objective over time through the use of the investigative and adjudicative authority that Congress clearly granted to the FMC under chapter 413.

NFIB supports the concept of construing section 41102(c) of title 46 on a case-by-case basis to help encourage timely, affordable, and safe movement of cargo from its origin to its destination, to the benefit of American businesses, including small and independent businesses. Through its exercise of adjudicative authority, the FMC can adopt principles that take account of incentives for freight fluidity in determining the reasonableness of rules and practices.

Sincerely,



David S. Addington

Senior Vice President and General Counsel